

Iversen and Soskice 2019 Claude Guide

Iversen, Torben, and David Soskice. *Democracy and Prosperity: Reinventing Capitalism through a Turbulent Century*. Princeton: Princeton University Press, 2019.

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1 Central Claims

- The book overturns the dominant narrative in political economy—whether the Marxian view that capitalism and democracy are fundamentally antagonistic, or the more recent “race to the bottom” view that mobile capital simply disciplines and constrains democratic states. Instead, Iversen and Soskice argue that **advanced capitalism and democracy are mutually reinforcing and symbiotic**: each depends on, and actively sustains, the other.
- Democratic states are not passive arenas dominated by capital; they are **active creators of the conditions advanced capitalism requires**—mass education systems, physical and legal infrastructure, macroeconomic stability, secure property rights, and coordinated wage-bargaining institutions. Advanced (knowledge-based, innovation-intensive) capitalism cannot function well without these state-supplied inputs.
- Contrary to the standard “capital mobility disciplines the state” story (associated with globalization-constrains-government arguments and with Boix’s asset-mobility logic), the authors argue that **advanced-sector capital is actually geographically “sticky,” not mobile**. Firms in the advanced sector are tied to particular places by agglomeration economies, highly specific human capital, and dense local supply chains—so it is the state that has real bargaining leverage over capital, not the reverse.
- This reverses the causal arrow of much of the political-economy literature: rather than capital constraining the democratic state, **the state disciplines capital**, because advanced firms cannot easily relocate the skilled workforces, specialized suppliers, and institutional ecosystems that make them productive.
- The book is explicitly a rebuttal of “race to the bottom” and “structural dependence on capital” theses, and it is also an implicit rebuttal of Piketty-style pessimism about capitalism’s built-in tendency toward instability and oligarchic capture—Iversen and Soskice see advanced democratic capitalism as institutionally self-stabilizing, not self-undermining.
- Central paradox the book resolves: how can democracies with universal suffrage—where median voters could, in principle, expropriate or heavily redistribute from capital—nonetheless sustain institutions that are broadly friendly to advanced capitalism? The answer lies in *who the median voter actually is* in advanced political economies (see Core Theoretical Mechanisms).

2 Core Theoretical Mechanisms

- **The skilled, invested median voter**: In advanced democracies, the decisive electoral median voter is not a poor, asset-less worker with an interest in expropriating capital, but rather a skilled, educated, home-owning citizen whose human capital, employment, and wealth are bound up with the success of the advanced sector. This voter benefits from—and therefore votes to sustain—the institutions (education, R&D support, stable

macroeconomic policy, property rights) that make advanced capitalism thrive, rather than generating backlash against it.

- **State capacity and democratic accountability as complements:** Where much of the state-capacity literature (e.g., Huntington) treats strong bureaucratic capacity and mass democratic participation as being in tension, Iversen and Soskice argue that in advanced political economies the two are complementary: electoral accountability pressures governments to build the competent, well-funded state institutions (schools, courts, macroeconomic management) that advanced-sector growth requires, and that growth in turn funds and legitimates state capacity.
- **Coordinated market institutions as competitive infrastructure:** Echoing (and extending) the Varieties of Capitalism framework, the book emphasizes skill-formation systems (vocational and higher education), coordinated wage bargaining, and employer associations as institutions that solve coordination problems—enabling firms to invest in specific human capital and long-term relationships that they could not sustain in a purely liberal, market-coordinated setting.
- **Agglomeration and stickiness:** The advanced (“knowledge”) economy clusters geographically—in specific metropolitan regions with deep labor-market pooling, knowledge spillovers, and specialized suppliers. This clustering is precisely what makes advanced-sector capital immobile in practice, even though it is nominally free to move: relocating means abandoning agglomeration economies that cannot be replicated elsewhere quickly.
- **Spatial/geographic divergence and populism:** Even though the *national* median voter benefits from advanced capitalism, the gains are spatially concentrated in thriving metropolitan clusters, while other regions are “left behind.” This uneven geography—not a failure of the underlying democracy-capitalism symbiosis—is, in the authors’ account, the primary source of contemporary populist backlash.
- **Human capital as the crux variable:** The type and distribution of human capital (general vs. specific skills, and their geographic distribution) is the key mediating variable linking economic structure to political coalitions, echoing and extending Iversen’s earlier collaborative work (with Soskice and others) on skills, insurance, and redistribution preferences.

3 Empirical Scope

- The book takes a **long-run historical perspective across the advanced OECD democracies**, spanning “a turbulent century”—from the early twentieth century through the present.
- Substantial attention to the **mid-twentieth-century construction of the postwar settlement**: the buildup of mass education systems, welfare states, and macroeconomic

management institutions (Bretton Woods-era stabilization, Keynesian demand management) as the state-side foundation for the postwar “golden age” of advanced capitalism.

- Equally substantial attention to **the late-twentieth/early-twenty-first-century transition to a knowledge economy**: the shift from mass manufacturing to information- and skill-intensive production, the associated rise in returns to education and agglomeration, and the resulting increase in both interpersonal and interregional inequality.
- The book uses this long historical arc to argue that the **same underlying mechanism**—democratic states supplying the institutional prerequisites for advanced capitalism, and advanced capitalism’s electoral beneficiaries supporting the state that sustains it—explains both the earlier construction of the welfare/education state and the contemporary, more troubled, knowledge-economy era, including the rise of populism.
- Primarily comparative-historical and institutionalist in method, drawing on cross-national data on education, wages, regional economic performance, and electoral behavior across the advanced democracies (with particular attention to the U.S., U.K., Germany, and other core OECD cases).

4 Core Works Cited

- **Peter Hall and David Soskice** (eds.), *Varieties of Capitalism: The Institutional Foundations of Comparative Advantage* (2001)—the direct institutional-economics predecessor. Iversen and Soskice extend the VoC distinction between liberal and coordinated market economies into a fuller theory of the democratic state’s role in sustaining those institutions, and into an explicit theory of democratic politics rather than firm strategy alone.
- **Torben Iversen and David Soskice**, prior collaborative work on skills, insurance, and redistribution (e.g., “An Asset Theory of Social Policy Preferences,” *American Political Science Review*, 2001) and on electoral systems and redistribution (*American Political Science Review*, 2006)—establishes the authors’ longstanding research program linking human-capital specificity, risk, and political coalitions, which *Democracy and Prosperity* generalizes into a full theory of advanced-capitalist democracy.
- **Thomas Piketty**, *Capital in the Twenty-First Century* (2014)—a rival account of capitalism and inequality dynamics (the $r > g$ mechanism driving oligarchic wealth concentration) that Iversen and Soskice partly push back against; they are considerably more optimistic that democratic institutions can and do check capitalism’s inegalitarian tendencies, at least among the historically successful advanced democracies.
- **Dani Rodrik**, work on the “political trilemma of the world economy” (*The Globalization Paradox*, 2011)—Rodrik’s claim that states cannot simultaneously have deep economic integration, the nation-state, and democratic politics is a foil: Iversen and Soskice are more sanguine that advanced democratic nation-states can sustain deep integration into the global knowledge economy without sacrificing democratic self-governance, because

advanced capital's immobility limits the disciplining power of globalization.

- **Peter Katzenstein**, *Small States in World Markets* (1985)—an important precedent for the idea that small, open advanced economies develop distinctive corporatist/ coordinating institutions (social partnership, coordinated bargaining) precisely in order to manage exposure to international markets; a forerunner of the state-capitalism coordination theme Iversen and Soskice generalize to advanced democracies writ large.
- Broader engagement with the comparative political economy and economic geography literatures on agglomeration, skill formation, and regional inequality (e.g., work in the tradition of economic geographers on clustering and knowledge spillovers), which the authors draw on to explain the “stickiness” of advanced-sector capital.

5 Part I: The Advanced Capitalist State

- **Reframing the capitalism-democracy relationship:** The book opens by rejecting both the Marxist tradition (capitalism and democracy are structurally opposed, with capitalism ultimately undermining democratic equality) and the neoliberal-globalization tradition (mobile capital disciplines and hollows out the democratic state). Both traditions, the authors argue, mistake the mobility and structural position of *advanced*-sector capital.
- **Advanced capitalism defined:** A knowledge-based, innovation-intensive form of capitalism reliant on highly skilled labor, dense information networks, and complex, geographically concentrated production ecosystems—distinct from earlier, more footloose forms of mass-production manufacturing capital.
- **Why advanced capital needs the state:** Advanced firms require public goods they cannot efficiently provide for themselves at scale—mass education systems producing skilled workers, legal infrastructure protecting intellectual property and contracts, stable macroeconomic policy limiting inflation/currency risk, and physical/digital infrastructure. No private coordination mechanism substitutes for these state capacities at the scale advanced capitalism requires.
- **The state's leverage over capital:** Because advanced firms are locked into specific locations by agglomeration economies and specific human capital, states retain real bargaining power to tax, regulate, and shape corporate behavior—capital cannot simply exit in response to unfavorable policy the way older “footloose” industrial capital could.

6 Part II: Democratic Politics and the Median Voter

- **Who is the median voter?** A central empirical and theoretical move: in advanced political economies, the decisive electoral median is not defined by class antagonism to

capital but by integration into the skilled, educated, home-owning core of the economy—a voter with a direct material stake in the institutions that sustain advanced capitalism.

- **Implications for redistribution and policy:** This median voter supports social investment (education, active labor market policy, family policy) that enhances human capital and complements advanced capitalism, rather than backward-looking redistribution that might undermine it. This reframes welfare-state expansion as complementary to, rather than a constraint on, capitalist growth.
- **Electoral coalitions and the advanced sector:** Political parties across the advanced democracies converge on policies that sustain the advanced sector because doing so serves the interests of the decisive electoral coalition—not because capital has “captured” the state against voters’ interests.

7 Part III: Geography, Inequality, and the Populist Backlash

- **Spatial divergence:** Advanced-sector growth clusters in specific metropolitan regions (finance, technology, and knowledge hubs), generating large regional disparities in wages, opportunity, and social outcomes even as the national economy overall prospers.
- **Left-behind regions:** Areas outside the advanced clusters—former manufacturing regions, rural areas—experience economic stagnation, out-migration of the skilled, and a hollowing-out of local political and civic institutions.
- **Populism as a spatial adjustment problem:** The authors interpret the recent populist backlash (Brexit, Trump, and similar movements) primarily as a political response to *geographic* inequality rather than as evidence that the underlying democracy-capitalism symbiosis is breaking down. Because the national median voter still benefits from advanced capitalism, the aggregate coalition sustaining the system remains intact even as regional resentment grows.
- **Policy implications:** The authors suggest that addressing populism requires place-based policy (investment in left-behind regions, connecting them to advanced-sector opportunity) rather than a wholesale rethinking of the advanced-capitalist growth model itself.

8 Methodological Contributions and Limitations

- **Synthesis across subfields:** The book’s chief methodological contribution is its synthesis of comparative political economy (institutions, varieties of capitalism), economic geography (agglomeration, clustering, regional divergence), and political behavior (median-voter and coalitional analysis) into a single, unified account of advanced democratic capitalism.
- **Scope conditions:** The theory is built to explain the trajectory of *historically successful*

advanced OECD democracies. It is considerably less equipped to explain cases of democratic backsliding, weak state capacity, or capital flight in developing and middle-income contexts, where the preconditions (deep skill formation systems, entrenched coordinating institutions, immobile advanced-sector capital) may simply not exist.

- **Possible over-optimism about resilience:** Critics may argue the book is too sanguine about the durability of the democracy-capitalism symbiosis given the scale of contemporary populist mobilization. By treating populism as a regional/spatial adjustment problem rather than a potential systemic challenge to the underlying thesis, the authors risk downplaying the possibility that populist politics could produce median-voter coalitions hostile to the advanced-sector institutions the book takes as stable.
- **Endogeneity and direction of causality:** As with much of the coordinated-institutions literature, it can be difficult to disentangle whether coordinating institutions (skill systems, wage bargaining) caused advanced-sector success or were themselves products of earlier successful industrialization—a version of the causal-priority problem familiar from other historical-institutionalist arguments (cf. Putnam 1993 on civic community and economic development).
- **Limited treatment of within-advanced-sector political conflict:** The account emphasizes a fairly unified “advanced sector” median-voter coalition, potentially understating conflicts of interest within that coalition (e.g., between highly mobile finance/tech capital and more geographically fixed traditional coordinated-sector firms) that other varieties-of-capitalism scholars treat as more consequential.

9 Connections to the Broader Literature

- **Huntington 1968:** Huntington’s central concern is whether political institutions can be built with sufficient capacity to manage rising participation and socioeconomic change without breakdown. Iversen and Soskice offer a specifically capitalist-democratic variant of this institutionalization story: rather than institutionalization writ large, they focus on the particular institutions (education, macroeconomic management, coordinated bargaining) that allow advanced democracies to absorb and benefit from capitalist economic change, and they are considerably more optimistic than Huntington about the compatibility of mass democratic participation with strong, stable state capacity.
- **Moore 1966:** Moore’s class-coalition theory of regime type (bourgeoisie, landed elites, and peasantry as the social bases of democratic, fascist, or communist outcomes) is a historical predecessor that Iversen and Soskice implicitly update for the advanced/knowledge-economy era: where Moore asks which class coalitions produced democracy in the first place, Iversen and Soskice ask which coalitions—now centered on skilled, educated median voters rather than a bourgeoisie or peasantry—sustain and reproduce democratic capitalism once established.
- **Przeworski et al. 2000:** Both bodies of work address the relationship between economic

development/structure and democratic stability, but with different emphases. Przeworski et al. focus on survival thresholds—the income levels above which democracies essentially never fail—while Iversen and Soskice focus on the positive mutual-reinforcement mechanism connecting advanced capitalism and democratic institutions, offering more of a causal mechanism than Przeworski et al.’s largely structural/statistical account of survival.

- **Boix 2003:** This is the sharpest point of theoretical tension in the literature. Boix’s *Democracy and Redistribution* argues that asset mobility makes economic elites more tolerant of democracy, because mobile capital can exit in response to unfavorable redistribution—capital mobility *disciplines* the democratic threat to elite assets and thereby facilitates democratic transitions and stability. Iversen and Soskice invert this logic for the advanced-capitalism era: they argue that advanced-sector capital is actually *immobile* (sticky, tied to agglomerations and specific human capital), so it is elites/capital who are disciplined by the state, not the reverse. This is a genuine and productive tension: Boix’s mechanism may better describe an earlier era of more mobile, tradeable industrial and financial assets, while Iversen and Soskice’s mechanism is calibrated to the specific features of knowledge-economy production.
- **Ostrom 1990:** Ostrom’s account of endogenous, self-governing institutional solutions to collective-action problems around common-pool resources parallels Iversen and Soskice’s emphasis on coordinated market institutions (wage bargaining, skill formation) as self-sustaining, non-market solutions to coordination problems that pure market mechanisms cannot solve on their own.
- **North 1990:** North’s institutions-and-transaction-costs framework—in which institutions exist to reduce uncertainty and enable long-term investment—is a general theoretical ancestor of Iversen and Soskice’s more specific claims about which institutions (education systems, property-rights protection, coordinated bargaining) sustain advanced capitalism. Where North operates at a high level of generality across all of economic history, Iversen and Soskice specify the particular institutional bundle relevant to the contemporary knowledge economy.
- **Putnam 1993:** Both books share a deep interest in how historically accumulated social/institutional endowments (civic community for Putnam; skill-formation and coordinating institutions for Iversen and Soskice) produce durable, self-reinforcing regional and national divergence in economic and political performance. Iversen and Soskice’s account of thriving metropolitan clusters versus left-behind regions echoes Putnam’s north-south divide, though the underlying mechanism (agglomeration economics and human capital vs. civic trust and social capital) differs.
- **Cox 1997:** Cox’s work on electoral systems and coordination among political elites and voters is a more distal connection, but both works share an interest in how electoral-institutional structure shapes which coalitions become decisive; Iversen and Soskice’s median-voter mechanism could be read as a substantive application of the coalition-formation logic that electoral-systems scholars like Cox formalize.

- **Muller and Strom 1999:** Muller and Strom's work on party behavior and coalition bargaining (parties as office-, policy-, or vote-seekers) provides a general framework into which Iversen and Soskice's claim about party convergence on advanced-sector-friendly policy could be embedded—parties respond to the median voter's material interests in a manner consistent with policy-seeking or vote-seeking behavior under the electoral incentives the authors describe.